

takeover bid by tipping his shares out onto the market or delivering them to the bidder. It was the classic win-win situation Icahn sought—even if he didn’t win a seat on the board, the proxy contest would act as a catalyst, signaling to other potential bidders in the market the company’s undervaluation and mismanagement.

Theory into Activism: Tappan Stove Company in Play

Icahn’s first target was Tappan Stove Company, a sleepy range and oven maker still chaired by a member of its eponymous founding family, Dick Tappan, almost a century after it was founded in 1881. Tappan stock was already depressed along with the rest of the stock market following the crash in 1974. It fell off a cliff when it posted its first loss in 40 years following a disastrous move into a new market for Tappan—heating and cooling—and a slump in its old home building market. Kingsley, who identified it as an attractive candidate, said:¹¹

At the time we took our position in Tappan, everyone else was hot on Magic Chef, but I said, “The multiples on Magic Chef are too high. Where is it going to go from here? Magic Chef was at the top of its cycle and Tappan was at the bottom. That’s where I preferred to stake our claim.”

At Kingsley’s suggestion Icahn started acquiring the stock in 1977 when it was selling for \$7.50 per share. He saw that Tappan, as a niche player in a market dominated by the likes of General Electric and Westinghouse, was an attractive candidate for strategic acquisition by one of those behemoths. With a book value of around \$20 per share, Icahn figured his potential upside was around \$12.50 per share, or about 170 percent. In what would become a typical Icahn analysis, he saw that the discount in the stock provided limited downside risk, and the potential for a significant gain if he could chum the waters enough to foment a takeover. Tappan made an ideal first target for his new strategy: If the coin fell heads, he would win big; if tails, he wouldn’t lose much.

Icahn built his position in Tappan through 1977 and then, in early January 1978, he and Kingsley placed a call to Tappan’s president, Donald Blasius, to alert him of their presence. Icahn told Blasius that he had acquired between 10,000 and 15,000 shares of Tappan and was considering making a “substantial additional investment.” Seemingly oblivious to Icahn’s overtures, Blasius noted in a subsequent memo to Dick Tappan, Tappan’s chairman, that Icahn “seemed pleased that we took the time to talk to them about the company.” In an effort to keep up the pressure, Icahn